



Divestiture of BRV / Affinity's Minority Stake in SSG.COM

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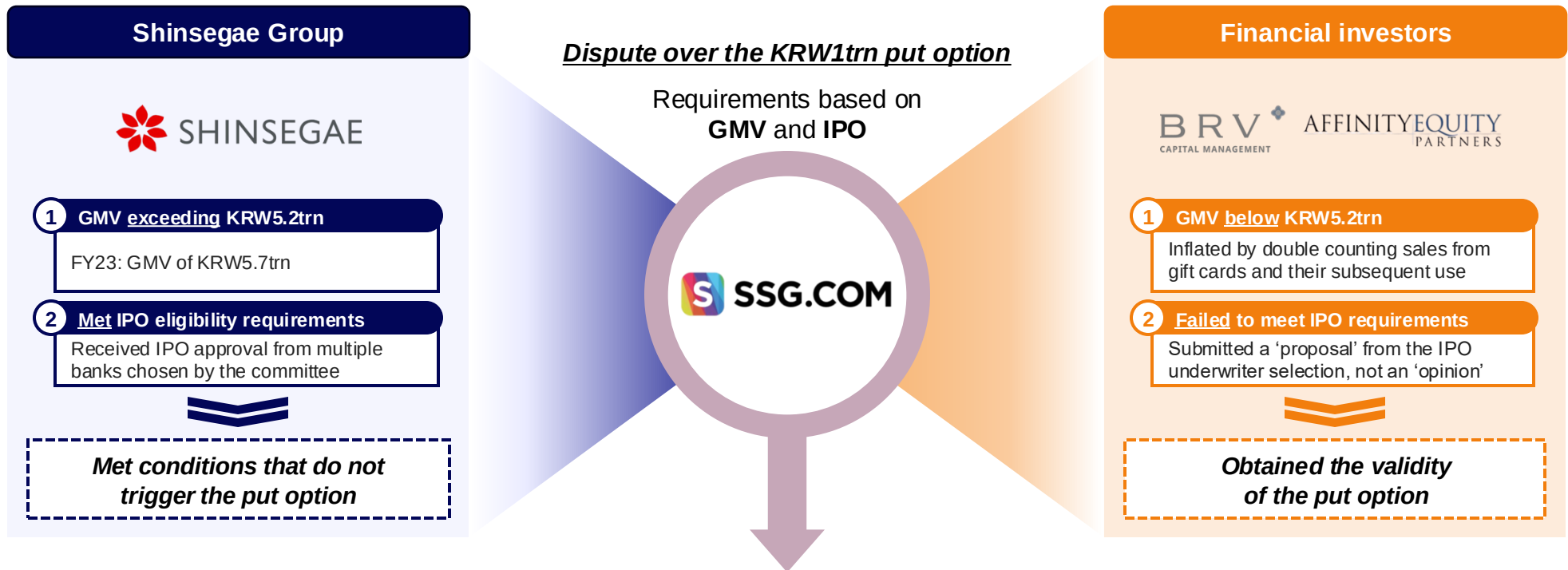
I. Overview of Sell-side M&A Process

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Situation Overview

Shinsegae Group, which previously indicated a potential KRW1trn dispute with financial investors (“FIs”) over put option conditions, has now agreed to sell its entire stake in SSG.COM held by FIs to a third party

Overview of Shinsegae Group’s commitment to divest the 30.0% stake in SSG.COM held by investors



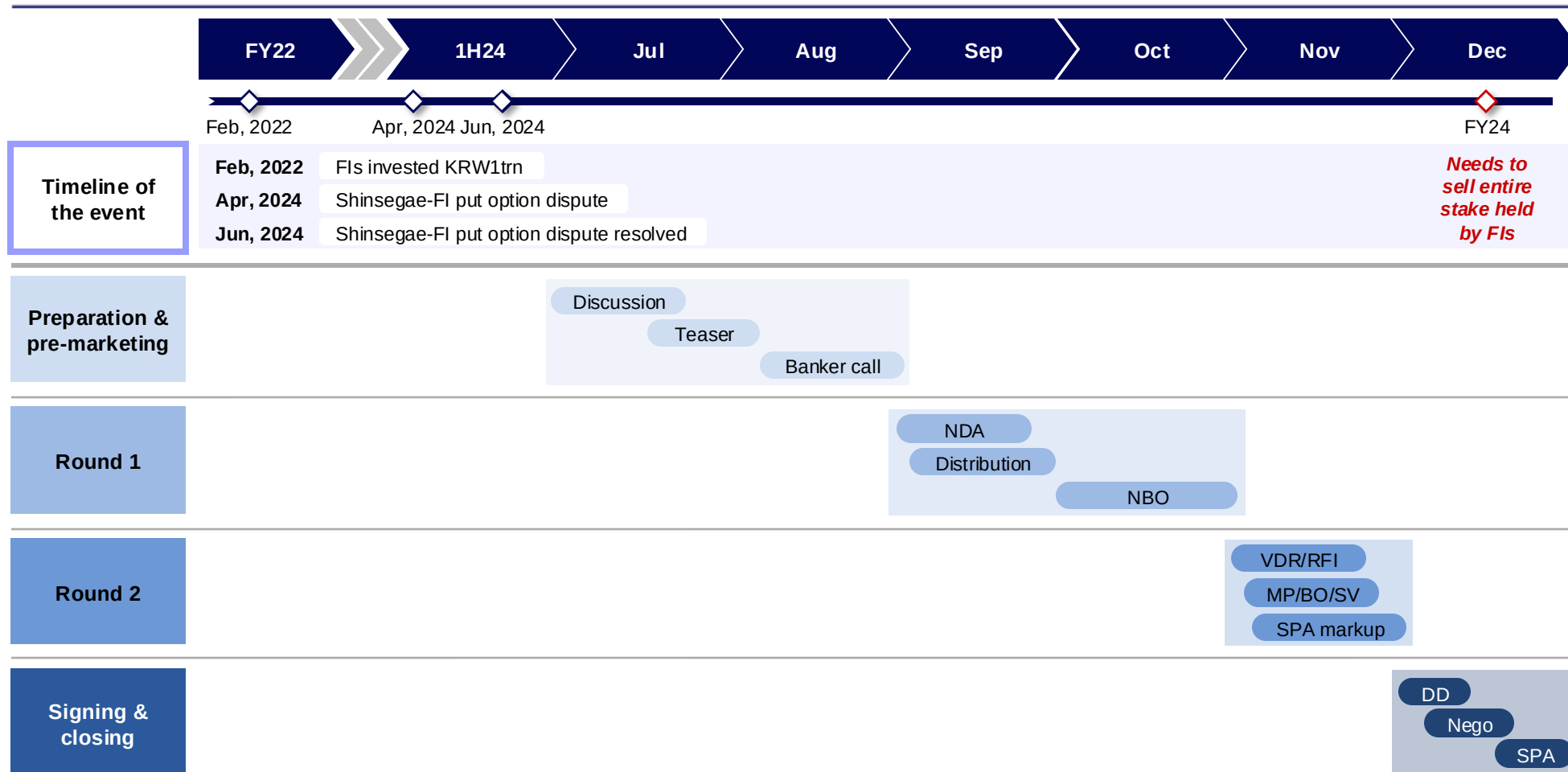
Shinsegae Group has agreed to sell its entire stake in SSG.COM held by financial investors to a third party

- 1 If no candidates are found by year-end, **Shinsegae Group must buy the stake**
- 2 Shinsegae Group will pay an **additional KRW150bn** on top of the existing KRW1trn investment to financial investors

Sell-side Timeline

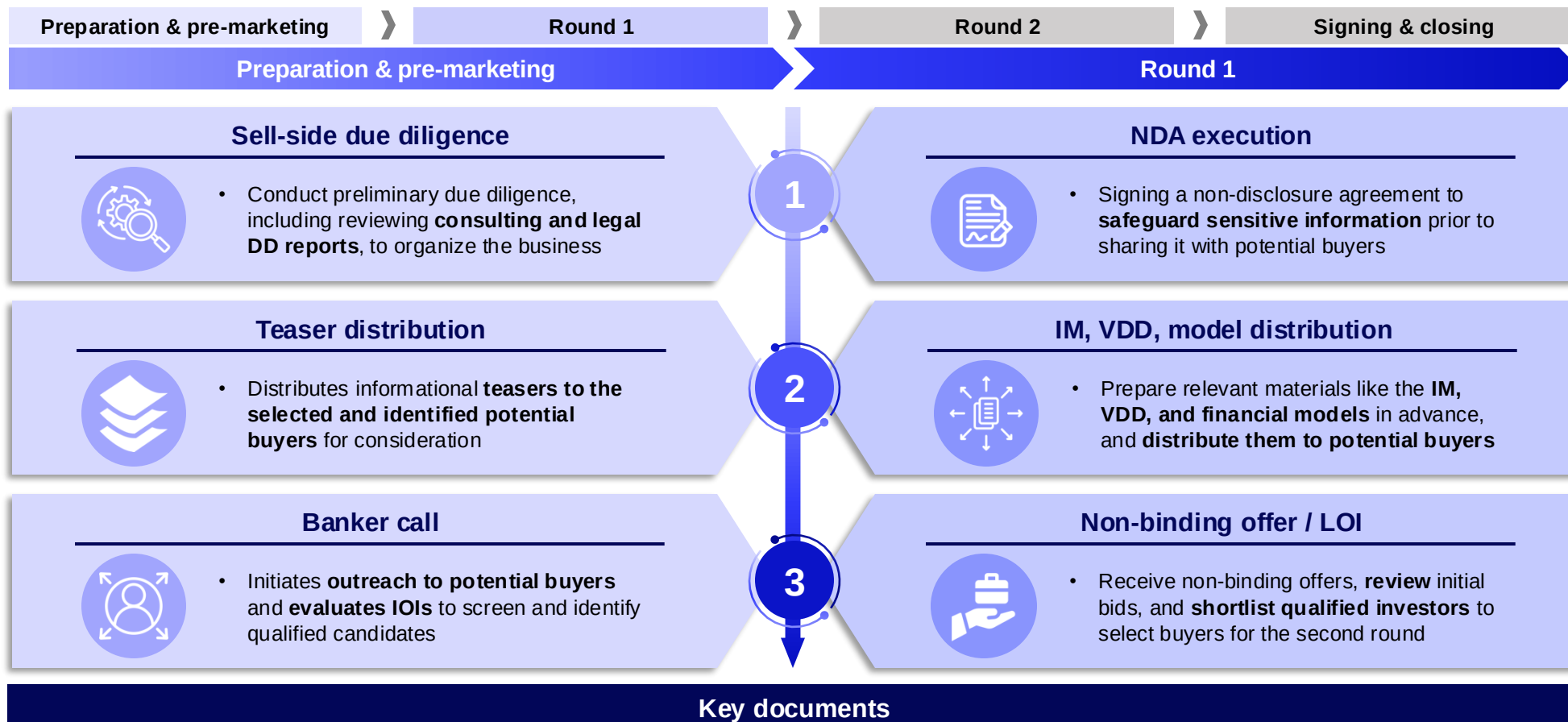
The dispute between Shinsegae Group and FIs arose in Apr, 2024 and was resolved in Jun, 2024, making it essential for Shinsegae to finalise the SPA for the entire stake in SSG.COM held by FIs by the end of 2024

Sell-side timeline and milestones



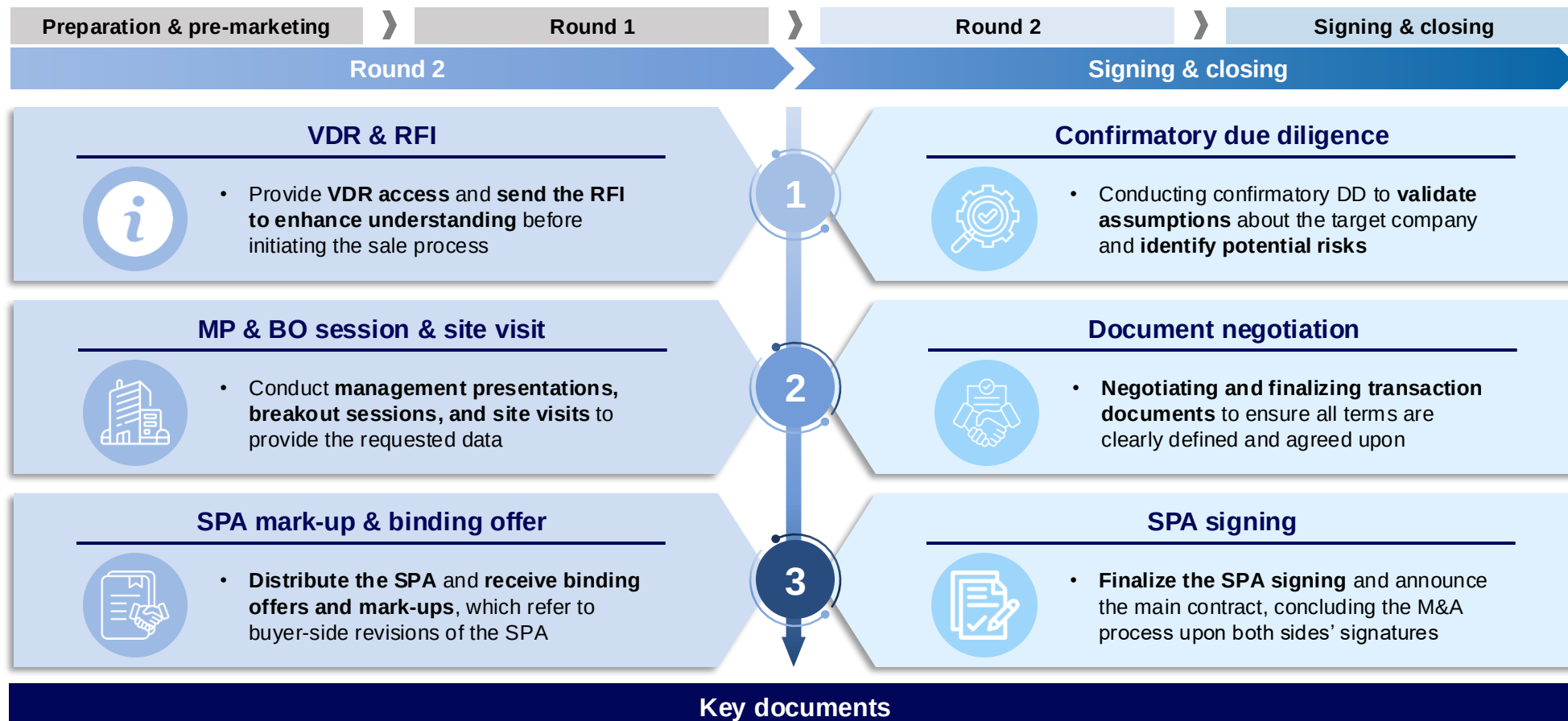
Process of Sell-side Auction

The 2-stage sell-side auction has two bidding rounds with multiple buyers, where pre-marketing involves due diligence and teaser distribution, and Round 1 includes NDA execution, IM, VDD, and NBO



Process of Sell-side Auction (Cont'd)

Round 2 encompasses a comprehensive set of activities for in-depth evaluation and engagement, while the closing process ensures alignment among all parties before finalizing the transaction



- **Virtual Data Room (VDR):** A secure online repository for document storage and distribution to review and share company documentation
- **Request for Information (RFI):** A solicitation document used for due diligence in a deal, created by both buy-side and sell-side to obtain information
- **Stock Purchase Agreement (SPA):** A binding agreement detailing acquisition terms, including advisor roles, purchase price, and other relevant M&A details

II. Asset Overview

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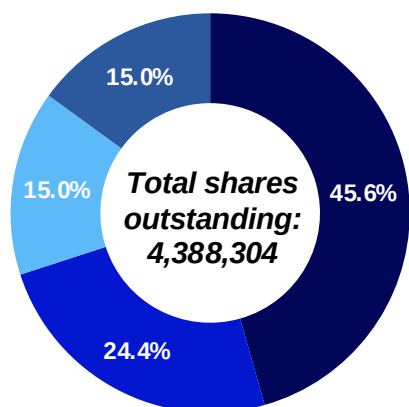
Company Overview

SSG.COM is an e-commerce platform overseeing Shinsegae Group's online businesses, with total investments of KRW1trn from financial investors in FY19 and FY22

Company profile

- Established in 2018, SSG.COM serves as a consolidated online shopping platform for Shinsegae Group's brands, including Shinsegae, E-Mart, and others
- The company was established through a split-off, separating the online shopping division of E-Mart
- The company merged with Shinsegae Mall as of March 1, 2019, and after the merger, the surviving company, E-Mart Mall, changed its name to SSG.COM
- Affinity Equity Partners and BRV Capital Management invested KRW700bn in FY19 and KRW300bn in FY22, totaling KRW1trn, to acquire a 30% stake in SSG.COM
- Due to the aggressive expansion of e-commerce competitors, SSG.COM has been recording operating losses since FY19

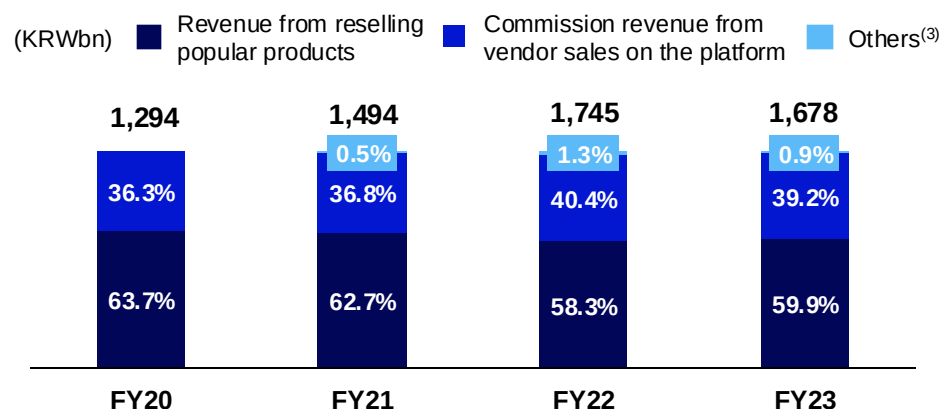
Shareholding structure⁽²⁾



Key financials

(KRWbn)	FY19 ⁽¹⁾	FY20	FY21	FY22	FY23
Revenue	844	1,294	1,494	1,745	1,678
Growth (%)	9,446.0%	53.3%	15.5%	16.8%	(3.8%)
Gross Profit	(82)	(47)	(108)	(111)	(103)
Margin (%)	(9.7%)	(3.6%)	(7.2%)	(6.4%)	(6.1%)
EBITDA	(55)	(1)	(55)	(40)	(30)
Margin (%)	(6.5%)	(0.1%)	(3.7%)	(2.3%)	(1.8%)
EBIT	(84)	(48)	(109)	(119)	(110)
Margin (%)	(9.9%)	(3.7%)	(7.3%)	(6.8%)	(6.6%)
Net Income	(58)	(34)	(82)	(123)	(104)
Margin (%)	(6.9%)	(2.6%)	(5.5%)	(7.0%)	(6.2%)
Total Assets	2,050	1,985	2,024	2,388	2,470
Total Liabilities	586	553	671	847	1,037
Net Debt	10	(89)	(53)	49	242

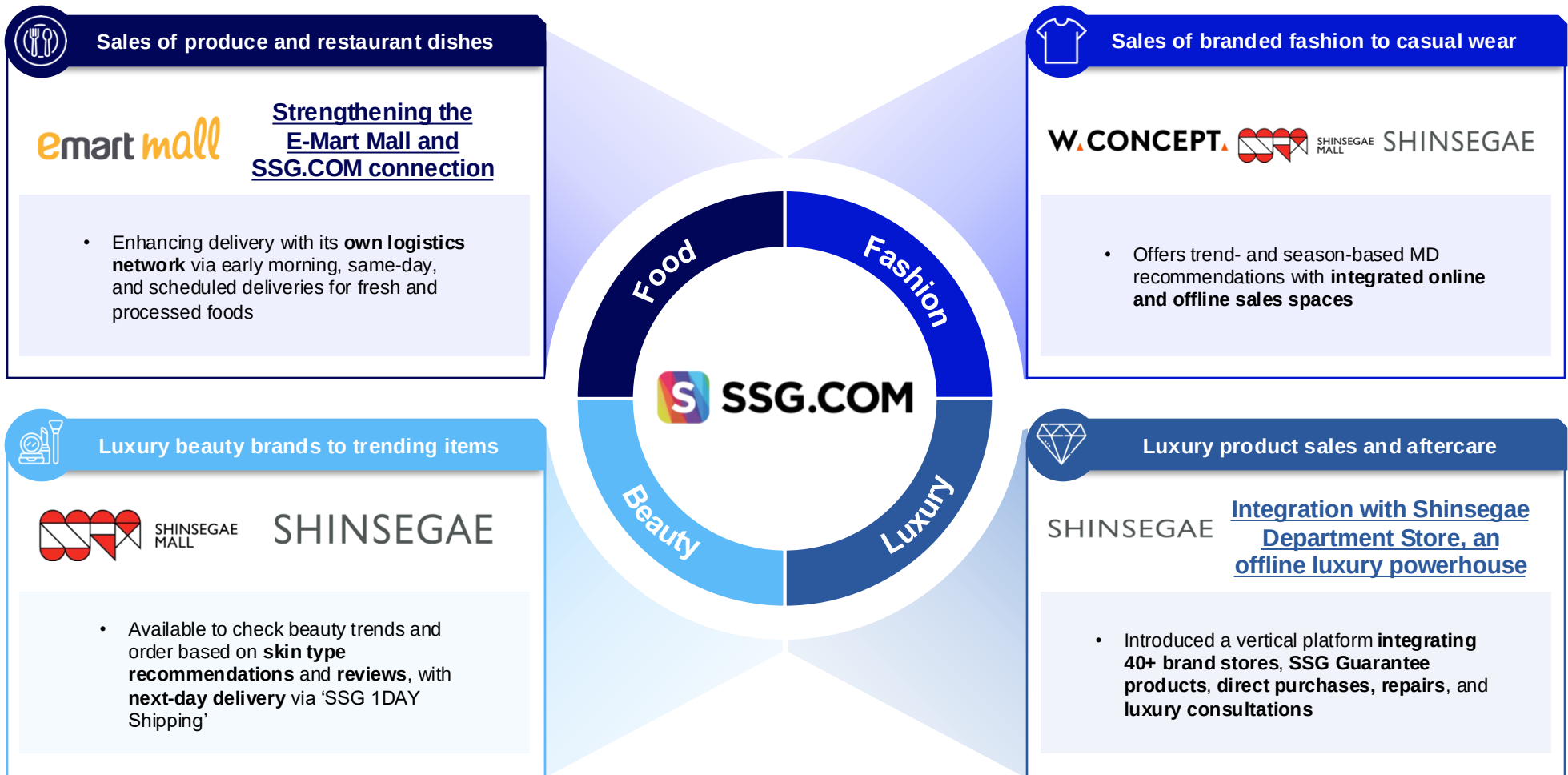
Revenue breakdown by segment



Business Breakdown

SSG.COM primarily operates in food, fashion, beauty, and luxury products, connecting with Shinsegae Group brands like E-Mart Mall, Shinsegae Mall, Shinsegae Department Store, and W Concept

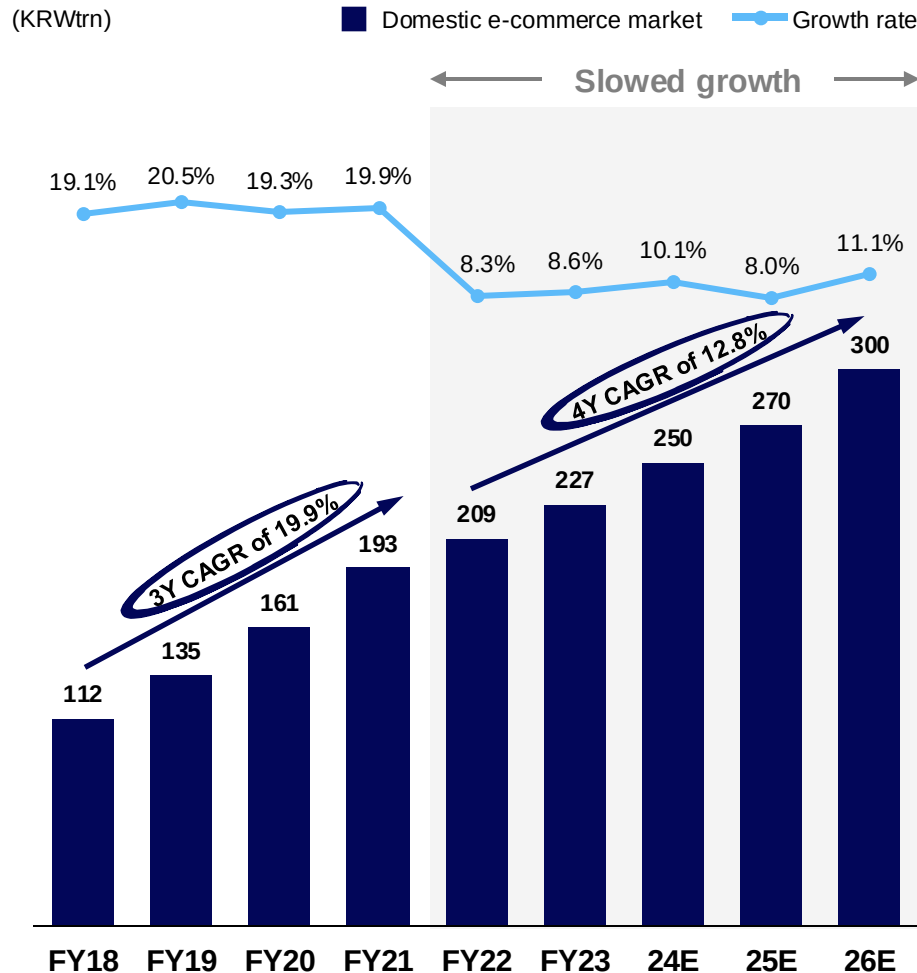
SSG.COM's business portfolio



Industry Overview

South Korea's e-commerce is projected to reach KRW300trn by 26E, but its growth rate has halved since FY22 due to Chinese platform expansion and the shift benefiting offline retail

Domestic e-commerce market outlook



Reasons for slowed growth

1 Rising Chinese e-commerce platforms

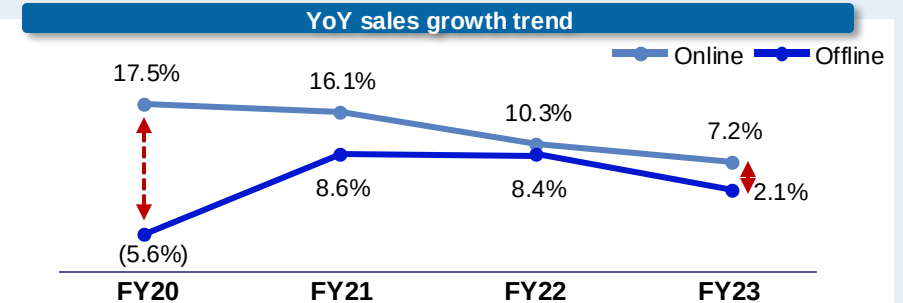
- Purchases through Chinese e-commerce platforms reached KRW3trn in FY23, up 121.2% from FY22

Change in domestic e-commerce platform rankings⁽¹⁾

	Jan, 2023	May, 2024
No. 1	coupang	coupang
No. 2	11	AliExpress
No. 3	Gmarket	11
No. 4	TMON	TEMU
No. 5	AliExpress	Gmarket

2 Endemic

- E-commerce growth, boosted by COVID-19, is weakening and narrowing the gap with offline sales



Investment Highlights

SSG.COM is poised for substantial growth, supported by its operational strengths, strategic alliances within Shinsegae, and a commitment to effective governance, making it an appealing investment opportunity



1

Attractive industry with an 8Y CAGR of 13.1% from FY18 to 26E

- SSG.COM has M/S of 16.0% in the food e-commerce market as of Mar, 2023, with continued high growth expected due to barriers for new competitors in this sector

2

Synergy across all Shinsegae affiliates

- Attracting customers and enhancing retention through an integrated Shinsegae Group platform

3

Operates its own logistics centres

- Integrates its own logistics centre, NE.O with nationwide offline stores for seamless online and offline operations

4

Proactive governance improvement

- Swift CEO replacement during the financial put option dispute, focusing on enhancing grocery and logistics competitiveness under new leadership

III. Divestment Strategies

1. Pros and Cons of Sales Alternatives
2. Potential Buyers Universe
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Pros and Cons of Sales Alternatives

The decision to divest a 30.0% or 54.4% stake in Shinsegae Group presents a strategic opportunity to drive business expansion and secure capital, yet it requires careful consideration of the implications on control

Sales alternatives from Shinsegae group's perspective

1 Option 1: Maintaining control



Description



Divestiture of the
30.0% stake controlled by

AFFINITYEQUITY
PARTNERS

BRV
CAPITAL MANAGEMENT



Pros

- **Business expansion potential:**
Maintaining a stake in e-commerce allows Shinsegae to leverage growth opportunities in the sector



Cons

- **Limited buyer interest:**
The risk that no FIs will be willing to purchase the stake, especially if they are concerned about the profitability

2 Option 2: Not maintaining control



Description



Divestiture of the
54.4% stake controlled by

AFFINITYEQUITY
PARTNERS

BRV
CAPITAL MANAGEMENT

SHINSEGAE



Pros

- **Capital influx**
The sale could generate significant capital for Shinsegae, allowing for reinvestment in other areas



Cons

- **Loss of control:**
Shinsegae risks losing management control and decision-making authority over SSG.COM

Potential Buyers Universe

Potential buyers for SSG.COM include MBK Partners and Anchor Equity Partners, with existing e-commerce platforms in their portfolios, as well as strategic investors like CJ Group and Amazon

Financial investors

Company	AUM ⁽¹⁾	Relevant transactions	Description
(US\$bn)			
	30	Invested over KRW1trn in ConnectWave in 2024, a South Korean e-commerce solution provider	- Has made several investments in platform companies - Possesses sufficient AUM to acquire SSG.COM
	5	Largest shareholder of Market Kurly with a 13.5% stake in the company	- Has made several investments in e-commerce platforms - Kurly, a peer of SSG.COM, is a valuable of asset in the portfolio

Strategic investors

Company	Revenue ⁽¹⁾	EBITDA ⁽¹⁾	Cash ⁽¹⁾	Relevancy	Other comment
(KRWtrn)					
	41	5	4	Operates the e-commerce platform, CJ ONSTYLE	CJ and Shinsegae are enhancing competitiveness through an MOU to utilize CJ Logistics for improved efficiency
(US\$bn)					
	575	86	73	Amazon is the world's largest e-commerce company	Aiming to penetrate the Korean market by offering free shipping orders above a certain amount, with potential plans for direct expansion

Transaction Comps

For transaction comparables, key M&A deals in the e-retailing industry were selected, with Tier 1 focusing on domestic companies and Tier 2 on international transactions, with EV/Sales mean of 3.9x in FY23

(US\$mn)

Target company	Announced date	Buyer	Deal conditions		Multiples (FY23)		
			Deal size	Stake (%)	Implied Eqv	EV/Sales	EV/EBITDA
Tier 1 - Domestic e-commerce companies							
Interpark Commerce	Mar 30, 2023	Giosis Pte Ltd - Qoo10	115	100.0%	115	3.7x	n/m
TMON Inc	Sep 2, 2022	Giosis Pte Ltd - Qoo10	177	100.0%	177	2.0x	n/m
Croquis Inc	Apr 14, 2021	Kakao Corp	890	100.0%	895	7.2x	n/m
Tier 1 - Domestic e-commerce companies - Mean						4.3x	n/m
Tier 1 - Domestic e-commerce companies - Median						3.7x	n/m
Tier 2 - International e-commerce companies							
Poshmark Inc	Oct 3, 2022	Naver Corp; Proton Parent Inc	1,617	100.0%	1,617	3.0x	n/m
StubHub Inc	Nov 25, 2019	Viagogo AG	4,050	100.0%	4,050	3.7x	n/a
Tier 2 - International e-commerce companies - Mean						3.4x	n/m
Tier 2 - International e-commerce companies - Median						3.4x	n/m
Total - Mean						3.9x	n/m
Total - Median						3.7x	n/m



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Team Atlantis